POLYMARKET DEEP DIVE • 890M TRADES ANALYZED

You Are the Exit Liquidity

I analyzed 890 million trades, 2.42 million wallets, and $50.87 billion in volume on Polymarket. The data is unambiguous: humans exist on this platform to lose money to bots. Here's the proof.

James Dai • March 24, 2026 • Data: Nov 2022 - Mar 2026

Let's get straight to it.

Every time you place a bet on Polymarket, there is a **94.4%** chance your counterparty is a bot. Not a person with a different opinion. Not a fellow degen taking the other side of your thesis. A machine that has already computed whether your trade is profitable — for *it*.

Only **5.6%** of trades on Polymarket are human-to-human. The rest? You are trading against algorithms running Bregman projections, Frank-Wolfe optimizations, and real-time game API feeds. And you are losing.

> THE THESIS
>
> Polymarket is not a prediction market. It is an automated extraction engine where humans provide the liquidity that bots convert into profit. The data across 890 million trades proves this beyond any reasonable doubt.

68.9%	-$8.8M	+$67.4M
BOT VOLUME SHARE	HUMAN NET PNL	BOT NET PNL

0.949	33x	$41M+
PROFIT GINI	BOT GROWTH (5MO)	ONE ENTITY, 11 WALLETS

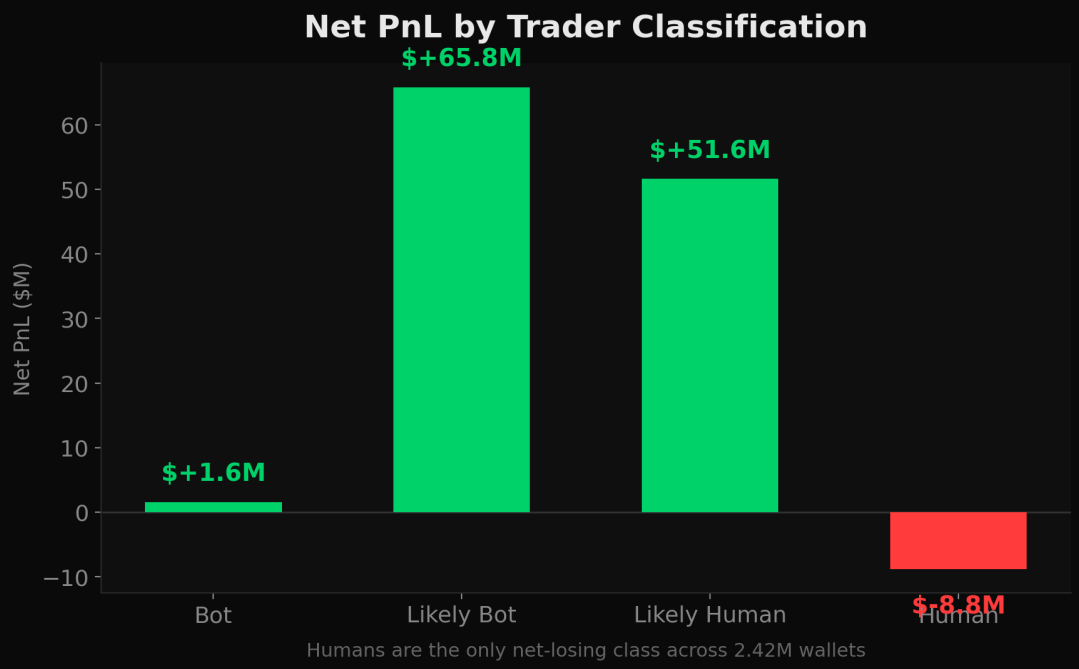
PART I

The Numbers Don't Lie (But Polymarket Does)

I built a bot classifier using 9 behavioral features — hourly trade entropy, maker/taker ratios, trade frequency, size consistency, weekend activity, night trading, and market breadth — fed through K-Means clustering and Isolation Forest anomaly detection. I ran it across 38,839 wallets with 50+ trades.

The results are not subtle.

Who Wins, Who Loses



There are four classes of trader on Polymarket. Three of them make money. Humans don't.

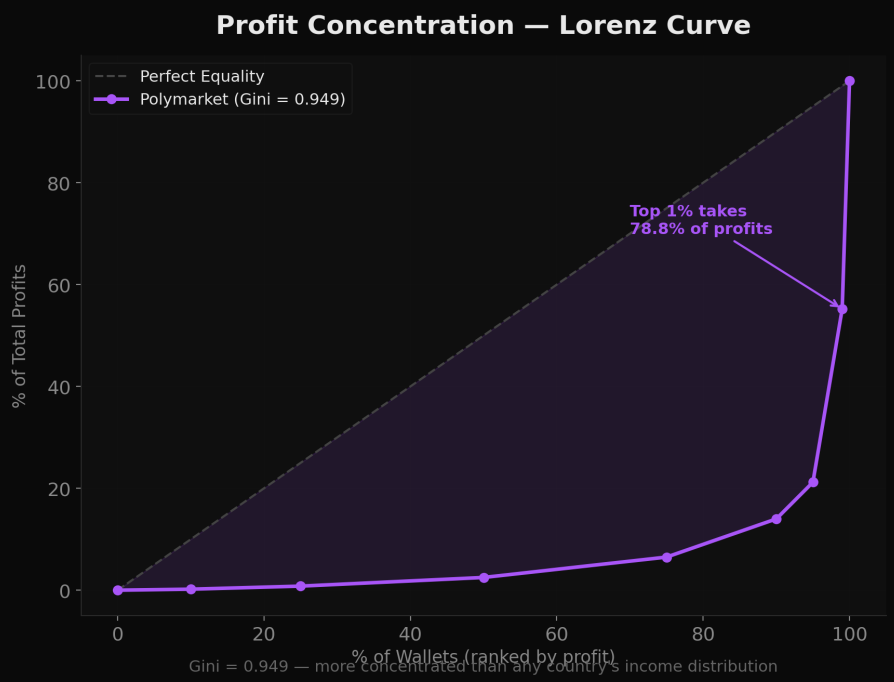
CLASS	WALLETS	NET PNL	PNL/TRADE	VERDICT
Bot	80	+$1.6M	+$0.07	Winning
Likely Bot	15,244	+$65.8M	+$0.21	Winning
Likely Human	18,703	+$51.6M	+$0.46	Winning
Human	4,812	-$8.8M	-$0.84	Losing

Read that again. Humans lose **$0.84** on every single trade they make. Bots gain on every single trade. This is not variance. This is not bad luck. This is systematic extraction.

KEY TAKEAWAY

Across $50.87 billion in volume, the net transfer from human traders to bots is approximately $24.7 million. Humans are not participants in a prediction market. They are the product.

The Profit Concentration Is Obscene



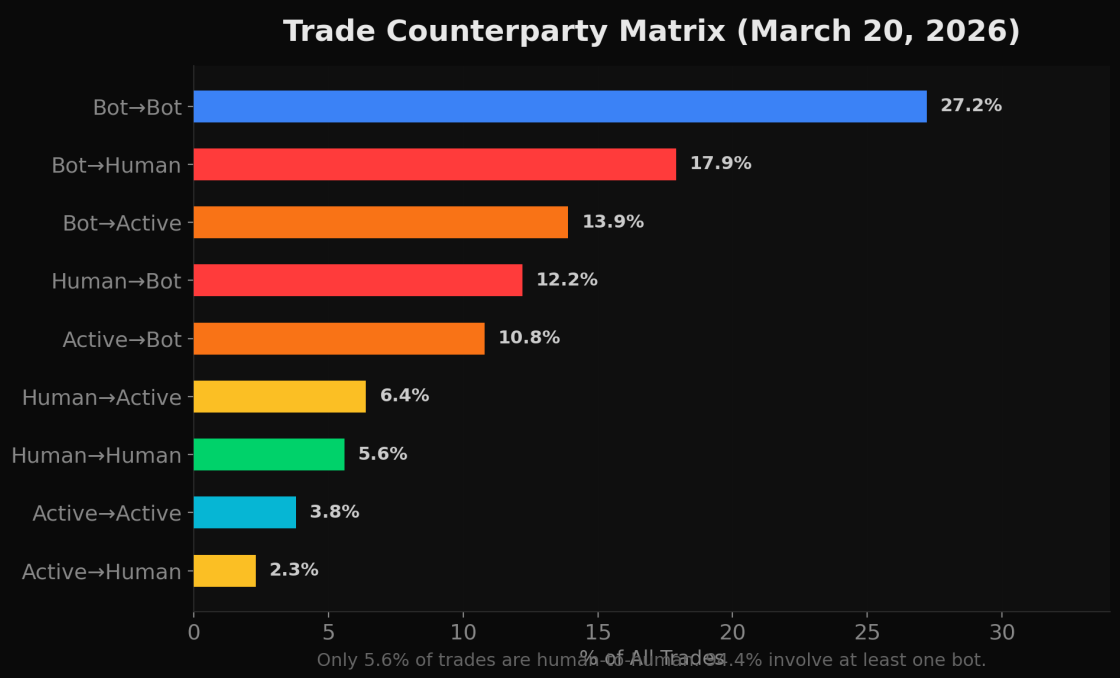
The Gini coefficient for Polymarket profit distribution is **0.949**. For context, the most unequal country on Earth — South Africa — has a Gini of 0.63. Polymarket is 50% more concentrated than the most unequal economy that has ever existed.

The top 10 wallets extract $47.6M (20.8% of all profits). The top 100 wallets extract $125.9M (55.2%). The top 1% — just 388 wallets — extract **78.8%** of all profits ever generated on the platform. And 76.6% of that top 1% are market maker bot clusters.

PART II

94.4% of Your Trades Have a Bot on the Other Side

On March 20, 2026, I analyzed every single trade that occurred on Polymarket. I classified every wallet that participated and mapped who traded with whom.

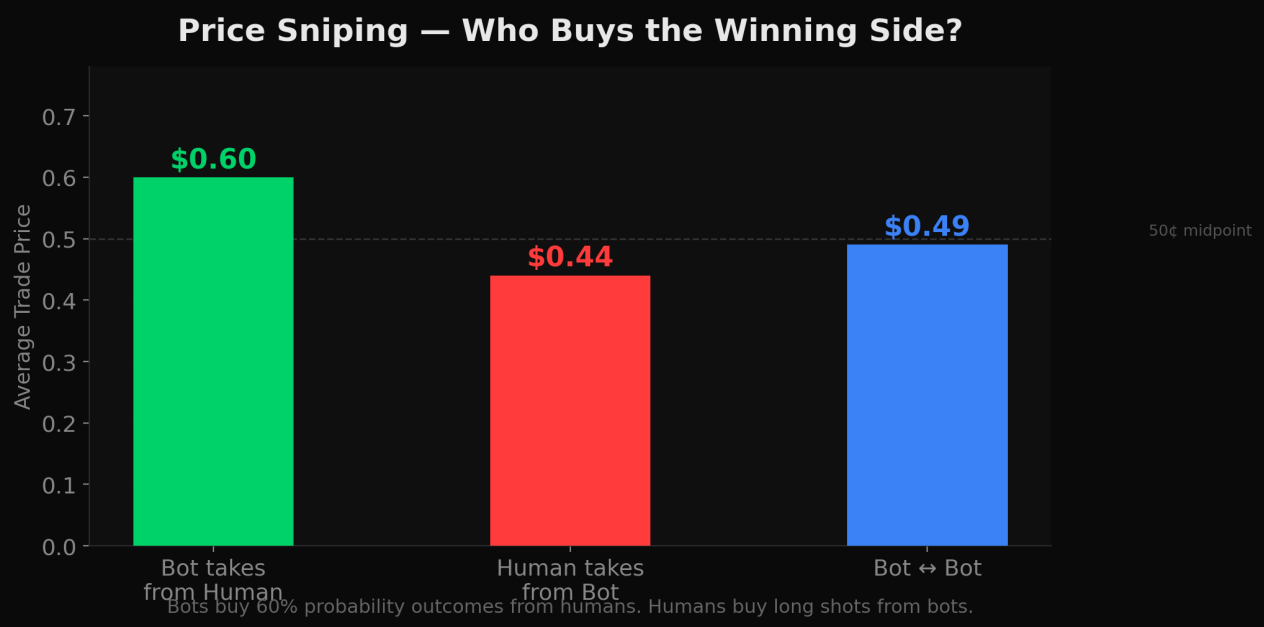


DIRECTION	% TRADES	VOLUME	AVG SIZE
Bot -> Bot	27.2%	$37.4M	$13.47
Bot -> Human	17.9%	$119.1M	$65.22
Bot -> Active	13.9%	$30.8M	$21.71
Human -> Bot	12.2%	$19.7M	$15.81
Active -> Bot	10.8%	$10.6M	$9.62
Human -> Active	6.4%	--	--
Human -> Human	5.6%	--	--
Active -> Active	3.8%	--	--

DIRECTION	% TRADES	VOLUME	AVG SIZE
Active -> Human	2.3%	--	--

Notice the average trade sizes. When a bot takes from a human, the average trade is **$65.22**. When a human takes from a bot, it's **$15.81**. The bots are taking larger bites out of humans than humans ever take from bots. This is not symmetric trading. This is predator and prey.

The Price Sniping Pattern



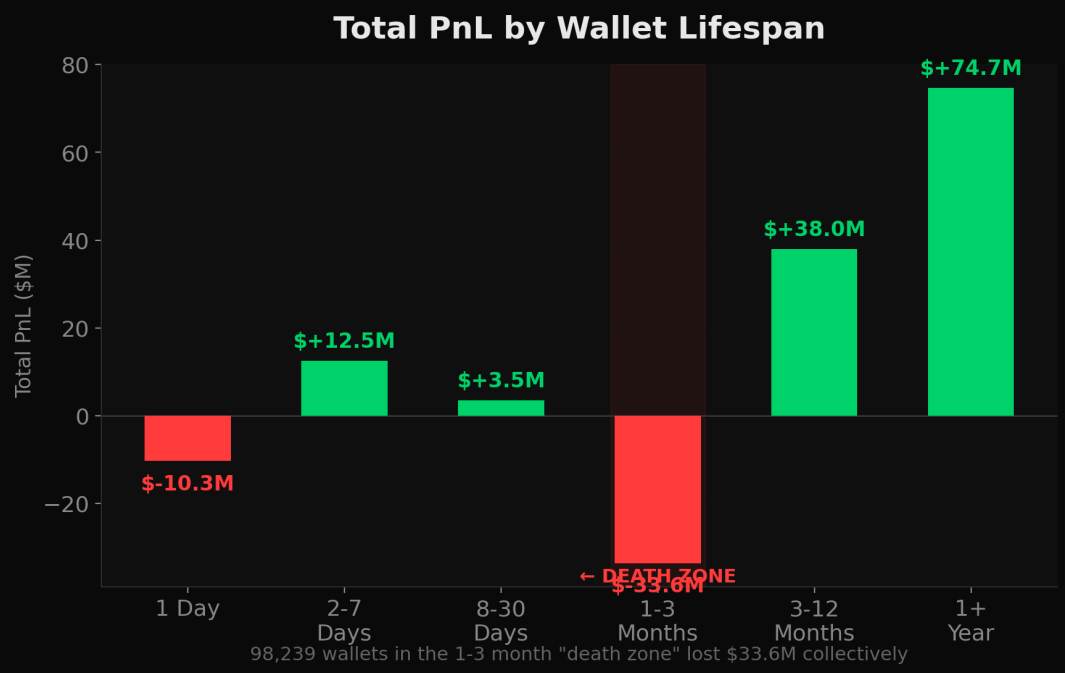
Bots systematically buy the side of the market that is more likely to win, and they buy it from you. You, meanwhile, are buying the lottery tickets. The long shots.

> **"Bots buy favorites from humans at $0.60. Humans buy long shots from bots at $0.44. Same market. Different outcomes. One side is computed. The other is hope."**

PART III

The Death Zone: Where Your Money Goes to Die

I mapped every wallet's lifespan against its total profit and loss. The result is a graveyard.



LIFESPAN	WALLETS	TOTAL PNL	AVG PNL	% PROFITABLE
Single Day	12,510	-$10.3M	-$826	22.1%
2-7 Days	61,099	+$12.5M	+$204	23.2%
8-30 Days	82,578	+$3.5M	+$42	25.3%
1-3 Months	98,239	-$33.6M	-$342	30.7%
3-12 Months	114,984	+$38.0M	+$331	36.5%
1+ Year	84,794	+$74.7M	+$881	34.2%

The 1-3 month cohort is the death zone. These are the people who stayed long enough to get confident, started sizing up, and bled **$33.6 million** collectively. 98,239 wallets losing

an average of $342 each.

Meanwhile, wallets that survive past 1 year make money. Because they're bots. At 1M+ lifetime trades, **96.5%** of wallets are profitable. Only 4 out of 114 lose.

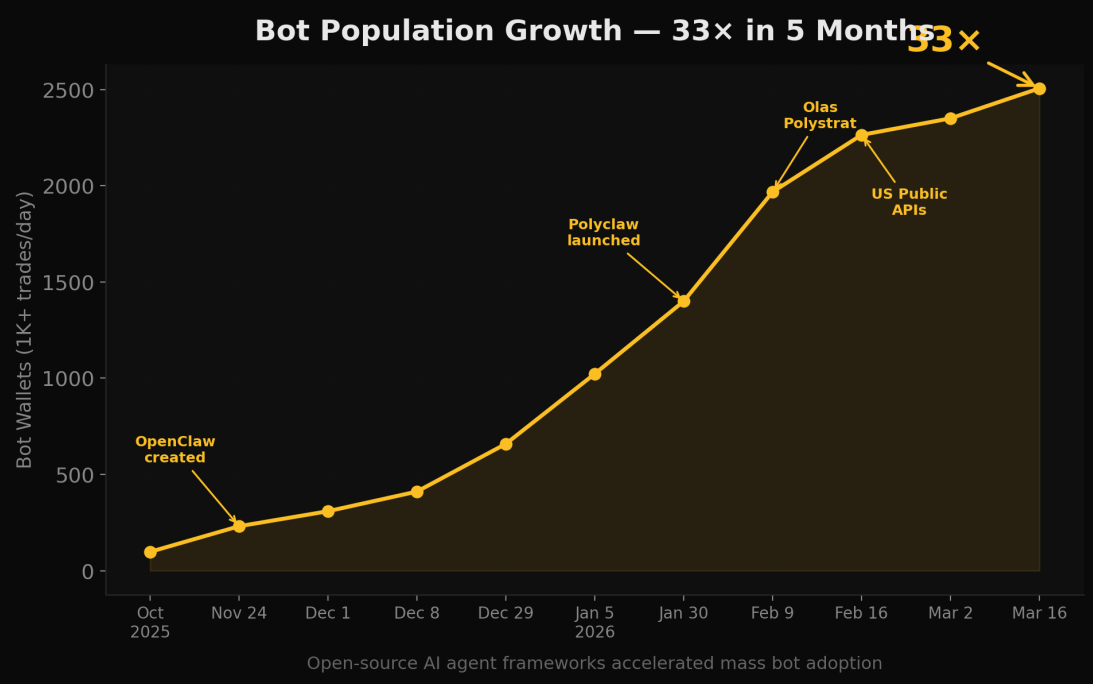
KEY TAKEAWAY

The more you trade, the more likely you are to win — if you're a bot. At 1M+ trades, 96.5% are profitable. For humans, more trading just means more losses. You don't develop an edge. You just bleed slower.

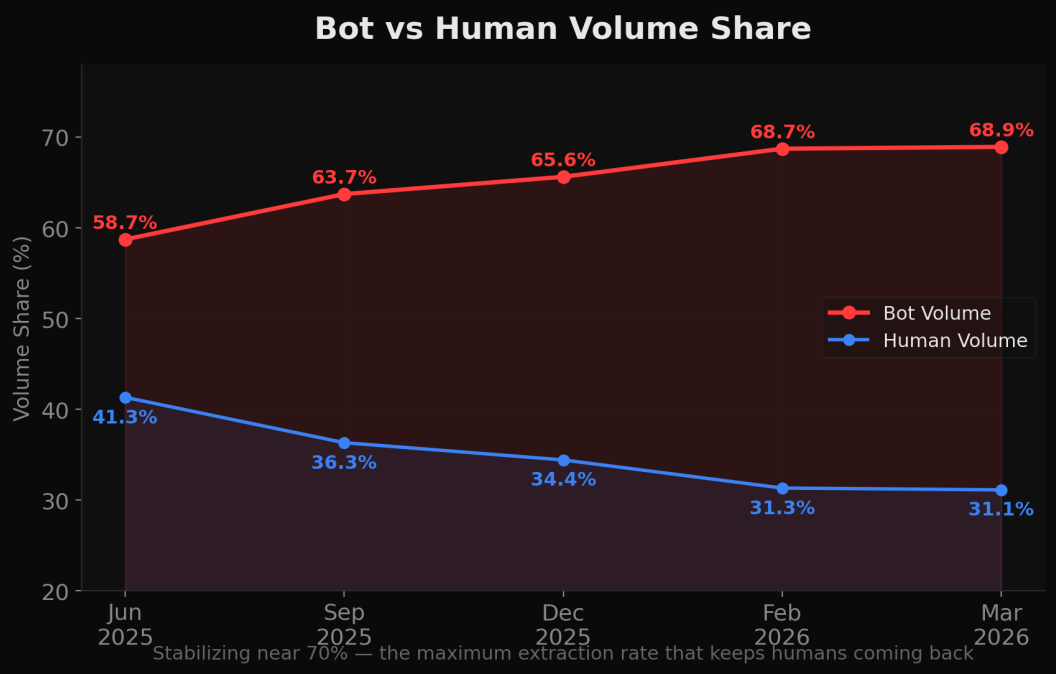
PART IV

The Bot Invasion Is Accelerating

In October 2025, there were approximately 98 wallets making 1,000+ trades per day on Polymarket. By March 2026, there were **2,506**. That's a 33x increase in five months.



What happened? Open-source AI agent frameworks happened. On November 24, 2025, Peter Steinberger created **OpenClaw**. On January 30, 2026, **Polyclaw** dropped. On February 9, **Olas Polystrat** launched with a 10-minute setup. By February 16, Polymarket opened its US public APIs.



We're approaching a ceiling around 70%. Not because bots ran out of room, but because bots need human liquidity to extract from. You can't have a 100% bot market — there would be nothing left to take. The system stabilizes at the maximum extraction rate that still keeps enough humans coming back.

> **"The bot ecosystem stabilizes at ~70% volume share. Not because the bots ran out of strategies, but because they ran out of humans to eat. The predator-prey ratio has found its equilibrium."**

PART V

The 11-Wallet Cluster: $41 Million in Coordinated Extraction

This is the smoking gun.

While analyzing the top non-market-maker profitable wallets, I discovered that the top 5 are almost certainly operated by a single entity running a coordinated multi-wallet sports arbitrage operation. Including extended members, this cluster spans 11 wallets with a combined PnL of **$41.2 million**.

Sequential wallet rotation. Two wallets serve as persistent "anchors" running since May-June 2025. Three satellite wallets activate and deactivate in sequence — W5 dies January 7, W3 takes over January 5 with a 2-day overlap. When all satellites die by March 9, only the anchors remain.

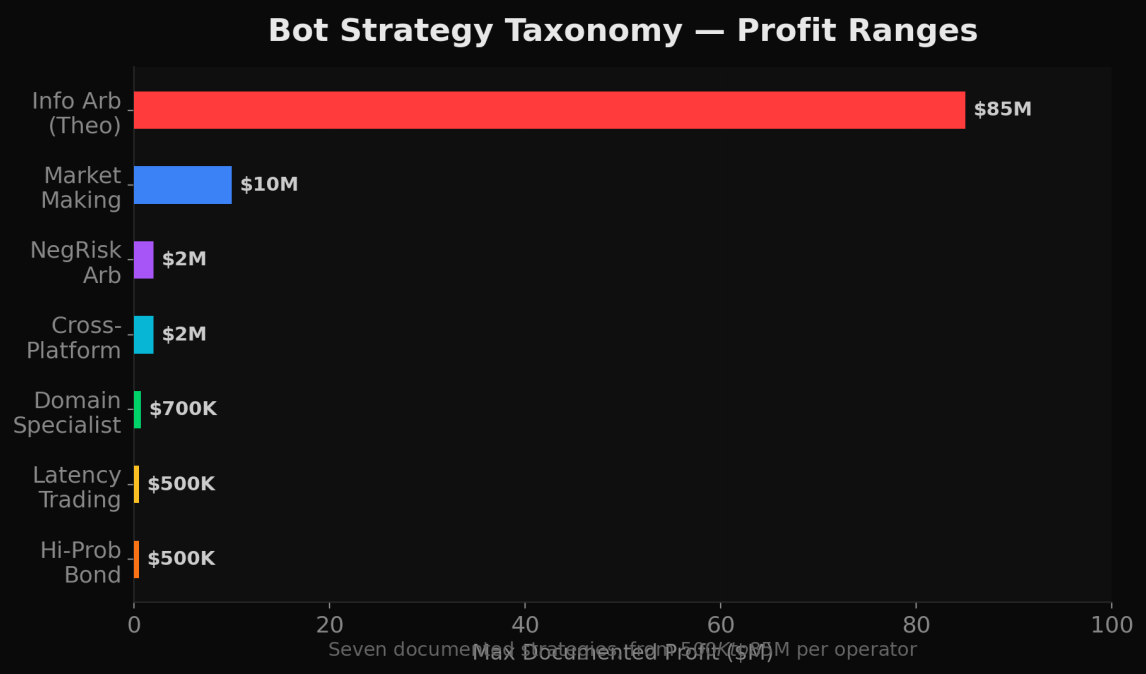
Direct bilateral trading: $8.5M+ volume. The wallets trade directly with each other. This is a self-dealing operation where the operator controls both sides of the trade.

Complementary roles. The anchor wallets have maker ratios of 87-97%. They provide liquidity. The satellite wallets have taker ratios of 18-26%. They take positions against the liquidity their own anchors provide. The operator is playing both sides of the order book.

WALLET	PNL	TRADES	PERIOD	ROLE
W1 (0x6a72)	+$11.32M	158K	Jun 2025 -> now	Anchor
W2 (0xe90b)	+$4.96M	164K	Nov -> Mar 2	Satellite
W3 (0xdc87)	+$4.61M	144K	Jan 5 -> Mar 9	Hub
W4 (0xdb27)	+$4.08M	263K	May 2025 -> now	Anchor
W5 (0x16b2)	+$3.61M	133K	Oct -> Jan 7	Satellite
W6 (0xc2e7)	+$4.73M	--	Nov 30 ->	6th member
+5 extended	+$7.89M	--	Various	Extended

PART VI

The Seven Ways They Take Your Money



1. Information Arbitrage ($1M-$85M). Theo commissioned private polling. Our cluster uses real-time game APIs. They have information before you do.

2. Market Making ($1M-$10M). 147 bot wallets collect 61% of all trading fees — $11.1 million per day, roughly $75,000 per wallet.

3. Latency Trading ($100K-$500K). 0x8dxd turned $313 into $438,000 in one month. 98% win rate. Polymarket eventually killed this with dynamic taker fees.

4. Domain Specialization ($50K-$700K). gopfan2 made $700K+ trading weather via NOAA forecasts. TeemuTeemu turned $900 into $230K trading esports using game API data 30-40 seconds ahead of Twitch.

5. NegRisk Rebalancing ($50K-$2M). When YES prices don't sum to $1.00, bots buy underpriced NO tokens and merge for guaranteed profit. $39.6M extracted in one year.

6. Cross-Platform Arbitrage ($100K-$2M). Same event, different price on Polymarket vs Kalshi.

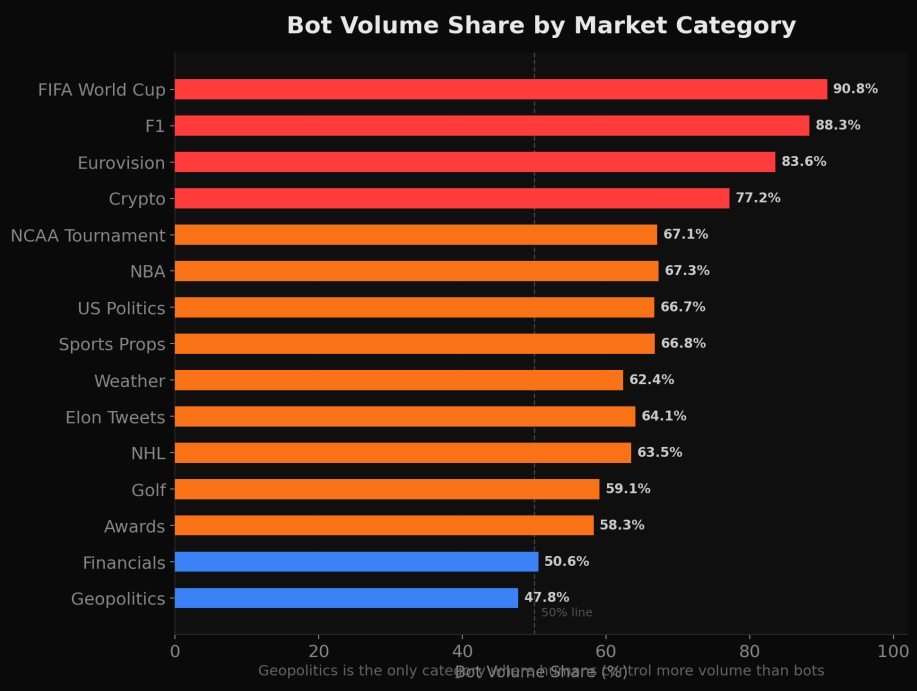
7. High-Probability Bonds (1,800% annualized). Buy outcomes at 95-99c near resolution. 5.26% per trade, annualized at ~1,900%.

KEY TAKEAWAY

Every strategy has a common structure: bots compute an edge faster than humans can perceive it, execute at a latency humans can't match, and scale across more markets than humans can monitor. The human isn't providing a counterargument. They're providing liquidity.

PART VII

The Category Kill Zones



FIFA World Cup markets are 90.8% bot by volume. F1 is 88.3%. NCAA Tournament is 87.2% by trade count. The only category where humans control more volume than bots is **Geopolitics** (47.8% bot). Why? Because geopolitical events are hard to reduce to an API feed.

Winners specialize. Losers generalize. The top 10 losers are ALL sports bettors (100% sports). The biggest loser (-$3.2M) trades the exact same category — European soccer in-play — as the biggest winner (+$4.73M). Same game. Opposite outcomes. One has a data pipeline. The other has a gut feeling.

PART VIII

Why Polymarket Is Built For Bots (And Kalshi Isn't)

DIMENSION	POLYMARKET	KALSHI
Order book	Transparent on-chain	Opaque centralized
Identity	New wallet = new acct	KYC required
Multi-wallet	Trivial (no limit)	Difficult (verified)
Market structure	NegRisk (creates arb)	Primarily binary
Tx cost	~$0.007/tx Polygon	Higher, rate-limited
Composability	Smart contracts	None
Visibility	Full on-chain	Anonymous
Regulation	Unregulated	CFTC-regulated

> **"Polymarket's on-chain transparency is a gift for researchers. It's a weapon for bots. And it's a trap for retail traders who think they're competing on a level playing field."**

PART IX

The Speed You Can't Match

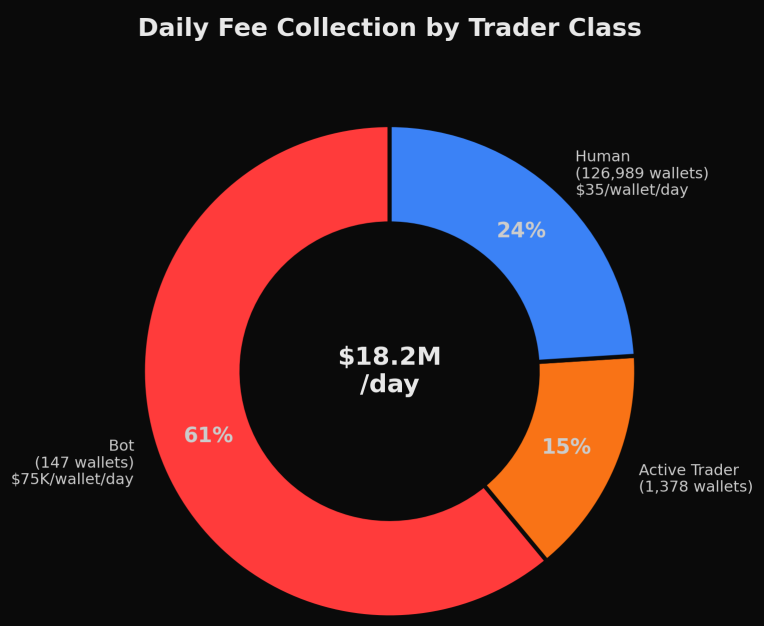
On March 20, 2026, the fastest wallet on Polymarket executed **3.19 million trades** in a single day. 133,000 trades per hour. One trade every 2 seconds — the physical floor imposed by Polygon's block time.

WALLET	TRADES/DAY	TRADES/HR	INTERVAL
0x4bfb	3,190,000	133,000	2 sec (block floor)
0xc5d5	549,000	22,900	~3 seconds
0x1f0e	77,500	3,200	~11 seconds
0xd1eb	63,900	2,700	~13 seconds
0xd0d6	59,500	2,500	~14 seconds

484 wallets were active across all 24 hours on that single day. No sleep. No breaks. Because they're machines. Your retail execution latency is ~2,650ms. Their systems operate at ~2,040ms. That 600ms gap is where your money goes.

PART X

The Fee Extraction Machine



CLASS	WALLETS	FEES/DAY	% TOTAL	FEE/WALLET/DAY
Bot	147	$11.1M	61%	$75,510
Active Trader	1,378	$2.7M	15%	$1,960
Human	126,989	$4.4M	24%	$35

147 wallets. Sixty-one percent of all fees. $75,000 per wallet per day.

THE BOTTOM LINE

You Were Never Meant to Win

Let me be direct about what this data shows.

Polymarket is a zero-sum game. Total PnL across all 2.42 million wallets is exactly $0. Every dollar won is a dollar lost. And the data is unambiguous about who is winning and who is losing.

Bots and likely bots collectively extract **+$67.4 million**. Humans collectively lose **-$8.8 million**. The net transfer is ~$24.7 million from human pockets to bot treasuries.

94.4% of your trades face a bot counterparty. Those bots are buying the winning side of the market from you at $0.60 while selling you long shots at $0.44. They have NOAA weather models, game API feeds, Binance WebSocket data, integer programming solvers, and Bregman projection algorithms. You have a phone and an opinion.

The 1-3 month death zone has consumed $33.6 million from 98,239 wallets. The top 1% (388 wallets) take 78.8% of all profits. The Gini coefficient is 0.949. One entity operating 11 wallets extracted $41 million through coordinated sports arbitrage that would be impossible on any regulated exchange.

And it's accelerating. Bot wallets grew 33x in five months. The bot volume share is approaching 70% and stabilizing — not because bots can't take more, but because they need to keep enough humans alive to feed on.

THE FINAL REALITY

While you were reading "10 tips for trading prediction markets," bots were solving integer programs across 17,218 conditions, computing Bregman projections to find optimal arbitrage trades, and executing parallel orders with VWAP-based slippage estimation. One group extracted $40 million in guaranteed profits. The other group — you — provided the liquidity.

The research paper is public. The algorithms are known. The wallets are on-chain. The profits are real.

The only question left is whether you'll keep providing the exit liquidity.

Methodology & Data

Dataset: 890M trades, 2.42M wallets, $50.87B volume (Nov 2022 - Mar 2026). Sourced from ClickHouse tables: polymarket_market_trades (~890M rows), leaderboard_by_pnl (2.42M wallets filtered to 819K with 50+ trades), polymarket_market_details (636K markets).

Bot Classification: 9-feature model (hourly entropy, maker ratio, log trades, trades/active day, trade size CV, weekend ratio, night ratio, market breadth, win rate) via K-Means (k=4) + Isolation Forest (contamination=0.15) + composite weighted score (0-100).

References: arXiv:2508.03474, arXiv:2603.03136, ChainCatcher on-chain analysis.

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Full research data, CSVs, and ML classifier code available on request.